

THE DAIRY VALUE CHAIN

● Two-third of milk procured goes into conventional milk, milk powder and ghee, as the rest is diverted towards value-added products



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Value addition starts with milk and moves to butter, ghee. These (value-added products) have worked out very well, and now there is a big focus on protein"

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HERE IS nothing remarkable about raita. A staple across homes in North India, it goes by other names in different parts of the country. The base is curd, with some raw vegetables thrown in, seasoned with mint and coriander. Making it takes a few minutes, but when you are up against a fast-paced urban life, convenience is most important.

The management at Mother Dairy Fruit & Vegetable saw an opportunity to launch a ready-to-eat version of this humble dish. The R&D team and the innovation centre swung into action. The company launched *bhuna jeera* raita this summer after a year-and-a-half of intense work.

The story of custard is similar, to the extent that an upper-middle-class customer base had a latent need for the product. This time, too, Mother Dairy made the move, and came out with a tetra pak. That was three years ago. The product has held out well. "It is important to get it right on taste and deliver on the wow factor each time. Obviously, that's not easy," says Jayatheertha Chary, Managing Director, Mother Dairy.

16 | For dairy companies, such innovations go beyond changing eating habits to reshaping where profits come from.

India has been a large dairy market for as long as one can remember. Almost 24% of global milk production comes from here, according to the Department of Animal Husbandry. The shift to value-added products is more palpable today—raita and custard are small examples in a large market—thanks to higher disposable incomes, a stronger cold chain network, and easier access through modern trade and quick commerce. For Mother Dairy, 70% revenue comes from the dairy business (the rest comes from Dhara edible oil, Safal's retail chain of fresh fruits and vegetables), of which 28% comes from value-added products. Five years ago, that proportion was 15-17%. In FY20, the revenue from the segment was ₹10,450 crore. It crossed ₹20,300 crore in FY26.

The size and potential of value-added products like ghee, buttermilk, and lassi, among others, is an indication of growth, both current and potential. In FY20, the size of the organised segment for these products stood at ₹85,000 crore, and in FY25, crossed ₹1.46 lakh crore, according to market intelligence platform iLattice. The transition from unorganised to organised is exciting the companies in the sector—for paneer, less than 5% is organised, while for ghee, buttermilk and lassi, it is 25%—apart from the potential in smaller segments such as cheese, yoghurt, and whey.

Milk is largely commoditised, making product dif-